

Trial Transcript Day Five: Defense Evidence

October 10, 2025 — Park cross-examination resumed

THE COURT: Dr. Park remains under oath. Members of the jury, yesterday's interruption occurred only because of the hour. Do not infer anything from the sequence.

MS. HOLT: Dr. Park, your principal opinion assumes Cobalt Finch would pass the November readiness gate, correct?

DR. PARK: It reflects my assessment that timely execution was materially more likely than a failure extending to March. I did not assume certainty.

Q. If the gate failed, the 1.8 million avoidance would not occur?

A. Not in full. Some different outcome might remain, but the principal scenario would change.

Q. Did the October records assign a percentage to that gate?

A. No.

Q. You supplied the probability judgment later?

A. I assessed likelihood from the contemporaneous tasks, capability, known gaps, and schedule.

Q. Is that judgment testable by sensitivity?

A. Yes. My schedules show lower-benefit cases.

Q. Does your title allow you to decide reasonableness as law?

A. No. I address operations economics; the Court instructs the jury.

Park cross-examination — risk weighting

Q. You did not identify a numerical failure probability in your report?

A. Correct. I explained why the evidence supports the principal schedule and provided result sensitivities.

Q. Could an audit finding halt the transfer?

A. Yes, if material and not timely remediable.

Q. Could method transfer take longer than expected?

A. Yes.

Q. Could starting materials arrive late?

A. Yes, particularly if Blue Ember did not mobilize promptly.

Q. Could an engineering confirmation fail?

A. Yes.

Q. Did you price every one of those adverse paths?

A. I evaluated their combined significance and tested lower schedule benefit, but I did not assign a separate dollar tree to every possibility.

Q. So your 1.5 million is not an observed historical saving?

A. Correct. It is the net avoidable loss under the alternative that, in my opinion, should reasonably have been pursued.

Q. Could jurors choose less?

A. They could if their factual assessment differs.

Q. Does a lower-benefit scenario mean booking was necessarily irrational?

A. No. It would change the magnitude, and reasonableness would still depend on expected information at the deadline.

Park cross-examination — costs and parallel path

Q. Was 300,000 dollars a fixed maximum?

A. No. It was a supported preliminary estimate.

Q. Does your model add the cost of keeping Aurora Quay reserved during transfer?

A. Not as a full separate duplication. I concluded Blue Ember could manage contingency and staged commitment, but the jury may assess contrary contract evidence.

Q. Could technical staff work both paths without loss?

A. Some conflict was possible. A reasonable organization would prioritize critical work and preserve the larger expected benefit.

Q. Did Cobalt Finch promise delivery of validation-ready material by December 20?

A. No. That was an initial campaign-completion target followed by testing and review.

Q. Could final disposition slip into 2025?

A. Yes, though the evidence supports timing earlier than the March manufacturing start.

Q. Is 1.8 million drawn partly from Brooks's model?

A. Yes. I mapped Cobalt Finch timing onto his conditional economic base.

Q. If the jury rejects Brooks's delay category, your deduction shrinks?

A. It cannot exceed a supported avoidable loss. My analysis does not create damages that otherwise do not exist.

Redirect examination of Park

MR. MERCER: Does reasonable planning require eliminating every risk?

DR. PARK: No. It requires comparing expected benefit, downside, cost, capability, and ways to manage uncertainty.

Q. Was there a known fatal barrier on October 4?

A. No.

Q. What would booking preserve?

A. The actual December suite while detailed diligence occurred.

Q. Did Cobalt Finch propose stop points?

A. Yes, culminating in the November readiness gate.

Q. Why does staged cancellation matter?

A. It limits downside compared with automatically committing all alternative cost and resources on day one.

Q. Did you ignore Blue Ember's technical concerns?

A. No. I considered them manageable risks rather than proof the option was economically unavailable.

Q. State your final net opinion.

A. 1.5 million dollars of avoidable loss after allowing 300,000 dollars of incremental cost.

Q. Does that alter the admitted transport chronology?

A. No. It concerns the response after the original event.

Q. Does it require the jury to find Granite Heron performed the shipment correctly?

A. No. My opinion assumes the disruption and examines only later loss reduction.

MR. MERCER: No further questions.

Blue Ember completes its case

MS. HOLT: Blue Ember recalls Dr. Solis for a limited record foundation.

DR. SOLIS: I remain under oath.

Q. Have you reviewed the replacement ledger and invoice summary offered yesterday?

A. Yes. They are maintained through Blue Ember's project accounting and trace the claimed incremental work.

Q. Was the Aurora Quay campaign merely a litigation plan?

A. No. It was scheduled and began March 3, 2025 under ordinary development controls.

Q. Does the source file identify credits?

A. Yes. It separates excluded ordinary work and any known credit from claimed expense.

Q. Is the forecast version dated before the shipment?

A. The principal version is from August 2024.

Q. Did Blue Ember preserve the nonprivileged Cobalt Finch decision materials?

A. Yes.

Q. Are all claimed categories now in evidence?

A. Yes, with the limitations explained by Brooks.

MS. HOLT: Blue Ember offers the final ledger foundation and rests its case.

THE COURT: The identified exhibits are admitted. Jurors, please retire briefly while the Court takes up a legal matter.

Granite Heron's initial Rule 50(a) motion

THE COURT: The jury is outside. Mr. Mercer, I understand Granite Heron wishes to make a motion.

MR. MERCER: Yes, Your Honor. Under Rule 50(a), Granite Heron moves for judgment as a matter of law on Blue Ember's breach claim because the evidence is legally insufficient to establish that the temperature excursion caused rejection and the damages submitted.

The designated monitor shows an environmental deviation, but testing retained measurable activity. Blue Ember's own quality team chose the intended-use criterion, stopped additional testing, rejected other potential use, selected the later manufacturing site, and built a forecast-dependent claim. We contend no reasonable jury could move from the admitted transport condition to legally caused compensatory loss without speculation.

THE COURT: Are you moving on breach itself?

MR. MERCER: We focus on causation. For purposes of this motion, the Court may assume an actionable failure in temperature control. The missing link is between that failure and the asserted product and economic consequences.

THE COURT: Continue with the particular categories.

Causation argument concerning the lot

MR. MERCER: On original-lot value, no witness testified that every vial became inactive. The assay evidence points the other way. Blue Ember made an internal validation decision without an external directive, and Solis acknowledged possible research use. That discretionary decision cannot alone establish that transport legally caused loss of the full 1.35 million dollars.

On replacement expense, Blue Ember chose complete repetition instead of further testing or narrower use. Brooks assumed the disposition rather than evaluating its scientific necessity. His ledger can add numbers but cannot supply the missing causal proof.

The contract does not make Granite Heron an insurer of Blue Ember's validation judgment. It requires evidence that the particular excursion naturally produced the claimed loss. An agreed no-tolerance specification may establish nonconformity, but the jury would have to speculate that the entire asset and every replacement item followed from the measured interval rather than Blue Ember's independent policy.

We ask for judgment on the claim or, at minimum, on the original-lot and replacement categories for lack of a legally sufficient causal basis. Our motion does not depend on resolving witness credibility in Granite Heron's favor; it addresses the absence of proof connecting retained activity to complete economic loss.

Causation argument concerning delay

MR. MERCER: The delay category is even more attenuated. BE-214 was unapproved and subject to scientific, financing, manufacturing, and business contingencies. The carrier never received Blue Ember's full internal forecast. Brooks relied on probability adjustments and a plan that did not guarantee any milestone.

Blue Ember also chose the March Aurora Quay campaign. Even before the jury decides the separate affirmative defense, that business choice interrupts the assertion that this carrier event caused the entire 2 million dollars. The evidence does not establish a nonspeculative sequence from fifty-four minutes of warming to each collaboration and contribution assumption.

The Court should not allow the jury to transform a route deviation into development-program insurance. The forecast documents may show hopes and internal planning, but no reasonable jury could find the claimed amount naturally and foreseeably caused under the contract.

THE COURT: To be precise, is this motion directed to the separate failure-to-mitigate defense or the amount of a Cobalt Finch deduction?

MR. MERCER: No, Your Honor. This Rule 50(a) motion is limited to causation of Blue Ember's claimed loss. Granite Heron will present mitigation to the jury as an affirmative defense; we do not seek judgment as a matter of law on mitigation at this stage.

Blue Ember's opposition

MS. HOLT: The motion asks the Court to disregard the intended use disclosed in the contract. Granite Heron accepted a no-tolerance validation shipment. The stipulated curve shows a significant failure in its custody, and the contemporaneous September 16 record explains why limited activity testing did not restore validation suitability.

Solis did not merely say “we prefer rejection.” She explained uniformity uncertainty, historical compliance, the role of validation evidence, and why destructive testing could not recreate the accepted condition. The jury may find that response reasonable and foreseeable without proof that every vial was inert.

Brooks traced the original cost and incremental replacement work. The fact that he assumed scientific causation does not leave a gap because Solis and the quality documents supplied it. Granite Heron may cross-examine and argue weight, but it cannot demand that economic testimony duplicate product testimony.

As for delay, the work order repeatedly identified validation timing. The model uses a pre-event plan, narrows the period, discounts program uncertainty, removes an upside scenario, and subtracts avoided spending. That is a reasonable evidentiary basis. Disagreement with assumptions belongs to the jury.

Opposition on sequence and foreseeability

MS. HOLT: Granite Heron's argument also collapses mitigation into causation while disclaiming a mitigation motion. The original event created the need for replacement. Whether Blue Ember could later shorten delay through Cobalt Finch is separately framed on the verdict form and subject to Granite Heron's burden.

The law does not require one cause or absolute certainty. The jury can find that transport failure caused the rejection and gross loss, then determine whether a later reasonable step would reduce the amount. It can also reject a particular category. Those possibilities show why judgment is improper.

Foreseeability likewise has evidence. Granite Heron knew the payload's value, validation purpose, strict temperature rule, same-day schedule, and emergency contacts. It need not have possessed every forecast cell to contemplate that losing a high-value validation lot could require replacement and delay a program.

THE COURT: Are you relying on the mitigation evidence to prove original causation?

MS. HOLT: Only to explain sequence. Liability and gross loss have independent evidence. The later offer may reduce the amount if Granite Heron proves its defense; it does not erase the underlying proof.

THE COURT: Thank you. I have a few questions for both sides.

Court's questions and ruling

THE COURT: Mr. Mercer, causation may be established through intended use and a reasonable disposition even without universal inactivity, correct as a general proposition?

MR. MERCER: A reasonable consequence can suffice, but we contend the record here is too conclusory and the economic extensions too remote.

THE COURT: Ms. Holt, does declared value alone prove original loss?

MS. HOLT: No. We rely on the ledger and invoices; declared value is corroborative.

THE COURT: I view the evidence in Blue Ember's favor for this motion without weighing credibility. The integrated writings, stipulated curve, contemporaneous disposition, source costs, and bounded forecast provide a legally sufficient basis from which a reasonable jury could find causation and compensatory loss. Granite Heron's contrary evidence is substantial but presents factual evaluation.

The Rule 50(a) motion on causation is denied. For clarity, the motion as stated does not request judgment on failure to mitigate or the amount of a mitigation deduction. The Court rules only on the causation ground presented. Granite Heron may renew that stated ground at the close of all evidence as permitted.

Bring in the jury. The motion and ruling must not be mentioned before it.

Granite Heron begins its case — Locke

MR. MERCER: Granite Heron calls Adrian Locke in its case. Mr. Locke remains under oath.

Q. Does Granite Heron accept responsibility for the failed transition?

A. It accepts the operational facts and that the shipment fell outside the temperature requirement. It disputes the claimed consequences and amount.

Q. Why distinguish those matters?

A. A carrier can correct a handling failure while still asking whether product testing, intended use, later decisions, contract limits, and alternative capacity affect legal loss.

Q. Did Granite Heron falsify the CTX-9 record?

A. No. We preserved it and admitted the curve.

Q. Did it hide the power-source problem?

A. No. The investigation states the unenergized transition and missed queue.

Q. Did it tell Blue Ember to administer or sell the material?

A. No. This was development material.

Q. What did Granite Heron request after rejection?

A. Scientific support, cost documentation, available alternatives, credits, and a causal explanation for each category.

Q. Did those requests change the source monitor data?

A. No. They addressed claimed consequences, not the recorded curve.

Contract loss provisions

Q. What is Granite Heron's position on declared value?

A. The 1.35 million selection replaces a lower cargo ceiling for proven direct payload loss. It does not liquidate damages or prove the whole lot was lost.

Q. What does the master agreement require for delay?

A. Granite Heron reads it to require a foreseeable, reasonably certain, nonremote consequence and to exclude indefinite approval-dependent projections.

Q. Does Blue Ember read it differently?

A. It says the bounded program delay fits the permitted category because validation timing was disclosed.

Q. Who decides the legal interpretation?

A. The Court, with factual questions and amounts submitted as instructed.

Q. Does the agreement contain mitigation language?

A. Yes. It calls for commercially reasonable steps evaluated by information, benefit, cost, feasibility, and risk.

Q. Does it demand unsafe release?

A. No.

Q. Does it demand certainty from an alternative?

A. No. Granite Heron's position is that reasonable managed risk is sufficient.

Q. Can the same contract recognize necessary quality control and still require loss reduction?

A. Yes. Granite Heron reads it to require a balanced assessment, not abandonment of either principle.

Claim review and scientific limits

Q. What did Granite Heron understand from the assay summary?

A. Tested samples retained activity. We recognized that result did not by itself establish validation compliance.

Q. Did the carrier employ a BE-214 release scientist?

A. No.

Q. Then why challenge rejection?

A. The contract permits us to contest whether Blue Ember's disposition and all resulting expense were reasonable and caused. We can rely on cross-examination and disclosed experts without owning release authority.

Q. Did Granite Heron accuse Solis of fraud?

A. No.

Q. Did it propose that recovery at 14:02 erased the event?

A. No. Recovery informs magnitude and scientific assessment.

Q. Did it identify a Blue Ember act causing the Fletcher warming?

A. No.

Q. Where does the dispute begin?

A. With the causal and economic treatment after the admitted deviation, including rejection scope, replacement, forecast loss, and the unused earlier option.

Q. Did the claim file preserve Blue Ember's explanations as well as Granite Heron's objections?

A. Yes. The exchange shows both sides' stated reasons rather than only our later summary.

Cross-examination of Locke

MS. HOLT: Granite Heron knew before pickup that the lot was for validation?

MR. LOCKE: Yes.

Q. It knew the specification had no time tolerance?

A. Yes.

Q. It knew immediate notice could protect decision options?

A. Yes.

Q. The warning did not reach an active queue?

A. Correct.

Q. The driver did not receive a Blue Ember waiver at 12:53?

A. Correct.

Q. No origin defect was identified?

A. Correct.

Q. The warm period ended before delivery, while Granite Heron still held custody?

A. Correct.

Q. Cobalt Finch was not already approved for BE-214?

A. Correct, but we contend the transfer was feasible.

Q. Your company did not offer to absorb every failed-transfer cost before October 4?

A. No unconditional arrangement was completed within that window.

Q. So the jury must evaluate both capability and remaining risk?

A. Yes.

Q. Did Granite Heron offer a scientific opinion through you yesterday?

A. No. I described company positions and left specialized testimony to the admitted witnesses and documents.

Q. Does the accepted specification remain the same despite the dispute?

A. Yes. No one amended Revision 3 after the event.

Holloway in Granite Heron's case

MS. WEBB: Granite Heron recalls Tess Holloway for a limited exhibit foundation. She remains under oath.

Q. Is the refrigeration recovery chart based on the same admitted source data?

A. Yes. It places controller restart and payload recovery on one timeline, with each source identified.

Q. Does it add a new temperature reading?

A. No. It organizes existing entries.

Q. What does it show after 13:38?

A. Active cooling resumed, the CTX-9 trended downward, crossed into range at 14:02, and remained there through delivery.

Q. Why is that relevant?

A. It defines exposure duration and shows protective action after discovery.

Q. Does it excuse the delayed discovery?

A. No.

Q. Did continued delivery add another exception?

A. No recorded one.

Q. Were the seals intact?

A. The delivery record says yes.

Q. Can the chart decide validation suitability?

A. No. It presents transport facts.

Q. Does it show what would have happened if personnel had checked power at 12:53?

A. It does not run a counterexperiment. The investigation concludes timely verification would have revealed the unpowered state.

Q. Is the recovery slope itself an expert damages calculation?

A. No. It is environmental evidence.

Q. Did your team use it to estimate lost contribution?

A. No. That subject belonged to the economic witnesses.

Cross-examination of Holloway

MS. HOLT: The chart begins cooling only after Granite Heron discovers its own failure?

MS. HOLLOWAY: Yes.

Q. It does not remove the fifty-four minutes?

A. No.

Q. It does not show that Blue Ember caused the maximum?

A. No.

Q. It does not establish uniform internal vial temperature?

A. Correct.

Q. It does not supply missing immediate notice?

A. Correct.

Q. Was the chart prepared after the event?

A. Yes, from preserved sources.

Q. Can a later chart be more accurate than the underlying entries?

A. It can organize them, not improve their source accuracy.

Q. Does Granite Heron accept that a properly energized standby source would likely prevent this curve?

A. Proper verification would have exposed the lack of power before warming.

Q. Did corrective action adopt that lesson?

A. Yes.

Q. Was the 14:02 recovery entry created for trial?

A. No. It derives from the preserved payload record.

Q. Does later preparation of the chart change source custody?

A. No. The chart remains traceable and separately dated.

Q. Are you offering any view about Cobalt Finch?

A. No. That manufacturing option lies beyond my operational role.

MS. HOLT: That completes Blue Ember's cross-examination of Ms. Holloway.

Defense documentary evidence

MR. MERCER: Granite Heron offers its claim correspondence, the assay summary already admitted, the contract-loss excerpts, Cobalt Finch's staged commercial terms, and Dr. Park's disclosed calculation schedules.

MS. HOLT: We do not object to authenticity. We object to any correspondence being admitted for truth of a lawyer's characterization and to demonstrative calculations being called independent source evidence.

THE COURT: The correspondence is admitted to show notice, positions, and information exchanged, not as proof that every assertion is true. Park's schedules are admitted as support for her opinion. The jury should evaluate the underlying facts.

MR. MERCER: The Cobalt Finch commercial stages show that acceptance did not require payment of the full estimated amount on October 4. The workplan also identifies the November stop decision.

MS. HOLT: The same exhibit shows cancellation exposure and open scope. We request the complete document be provided, not selected lines.

THE COURT: Agreed. The full admitted exhibit will accompany any display. Counsel may argue competing inferences without editing away qualifying terms.

MR. MERCER: Granite Heron also confirms that its mitigation schedule begins with gross avoidance and then subtracts the alternative cost. It is not offering the 300,000-dollar figure as an additional credit unrelated to Cobalt Finch.

MS. HOLT: Blue Ember agrees with that arithmetic convention while disputing the amount of avoidance and the reasonableness premise.

THE COURT: The jury will receive the complete calculation and will not be asked to infer the direction of subtraction from counsel's shorthand.

Granite Heron rests

MR. MERCER: Granite Heron has no additional live witnesses. We rest subject to the admitted exhibits and any permitted surrebuttal.

THE COURT: Ms. Holt, do you anticipate rebuttal?

MS. HOLT: A short rebuttal from Brooks and Solis addressing Dr. Park's probability and parallel-path assumptions. We can complete it Tuesday morning.

MR. MERCER: We may request limited surrebuttal if a genuinely new opinion appears.

THE COURT: Rebuttal must respond to defense evidence and may not repair an omitted element through an undisclosed opinion. Counsel shall exchange the proposed demonstrative before leaving today.

Members of the jury, Granite Heron has rested, but the evidence is not closed because Blue Ember may present limited rebuttal. Do not begin deliberating. The parties' decision to call or not recall a witness should not influence you except as allowed under the instructions.

We will not sit Monday, October 13. Return Tuesday, October 14 at 9:00. Continue to avoid all discussion, research, and media concerning the fictional case.

Charge planning outside the jury's presence

THE COURT: Before adjournment, I want the parties to address the structure of Tuesday's proceedings. Rebuttal will begin at 9:00. Any motion at the close of all evidence will follow outside the jury's presence. The final charge conference will then occur before closing arguments.

The current verdict form asks for contract, breach, causal loss, original-lot amount, replacement amount, delay amount, mitigation finding, and a net mitigation deduction. Counsel should submit any arithmetic correction by noon Monday.

MS. HOLT: Blue Ember asks that the mitigation question state Granite Heron's burden and make clear the deduction is net of reasonable alternative cost.

MR. MERCER: Granite Heron agrees on burden and net treatment. We request an instruction that an alternative need not be guaranteed or already program-qualified if reasonable diligence could complete the work.

THE COURT: Those legal objections will be resolved Tuesday. Nothing said in this planning discussion is evidence or a procedural motion for judgment. Each party remains responsible for making any request distinctly at the required time.

End-of-day record check

CLERK: The admitted exhibits have been reconciled against the parties' lists. The original logger rendering, carrier recovery timeline, lot-disposition materials, Cobalt Finch set, expert schedules, and claim correspondence are secured for the exercise jury.

THE COURT: Counsel, any correction to the day's witness sequence?

MS. HOLT: None. Blue Ember's case concluded before the jury retired for the Rule 50(a) argument. Granite Heron then presented and rested its defense, with rebuttal remaining.

MR. MERCER: That is accurate. Granite Heron's Rule 50(a) motion today asserted insufficient causation only. It did not request judgment on the affirmative mitigation defense.

THE COURT: The record will reflect that limitation exactly as stated and ruled. The jury has heard nothing about the motion.

The parties shall preserve all demonstratives in the form used, including labels identifying them as advocacy aids. The transcript will distinguish the jury-present and jury-absent sessions. Court is adjourned until October 14, 2025.

CLERK: All rise.